23. Taxation

The Company is not subject to any taxes in the Cayman Islands on either income or capital gains under current Cayman law. The Company has received an undertaking that the Company will be exempted from Cayman Islands income or capital gains taxes until June 2018 in the event of any such taxes being imposed.

The Company's Bermuda subsidiaries are not subject to any income, withholding or capital gains taxes under current Bermuda law. In the event that there is a change such that these taxes are imposed, the Bermuda subsidiaries would be exempted from any such tax until March 2016 pursuant to the Bermuda Exempted Undertakings Tax Protection Act of 1966, and Amended Act of 1987.

The Company's U.S. subsidiaries are subject to federal, state and local corporate income taxes and other taxes applicable to U.S. corporations. The provision for federal income taxes has been determined under the principles of the consolidated tax provisions of the Internal Revenue Code and Regulations there under. Should the U.S. subsidiaries pay a dividend to the Company, withholding taxes will apply.

The Company has operations in subsidiary and branch form in various other jurisdictions around the world, including but not limited to the U.K., Switzerland, Ireland, Germany, France, Luxembourg and various countries in Latin America that are subject to relevant taxes in those jurisdictions.

The income tax provisions for the years ended December 31, 2003, 2002 and 2001 are as follows:

Year Ended December 31 *(U.S. dollars in thousands)*	**2003**	**2002**	**2001**
Current Expense:			
U.S.	$ 8,268	$ 988	$ 5,398
Non U.S.	11,355	3,521	16,506
Total current expense	$ 19,623	$ 4,509	$ 21,904
Deferred Expense (Benefit):			
U.S.	$ (97,382)	$ (2,949)	$ (69,384)
Non U.S.	107,808	21,087	(142,434)
Total deferred expense (benefit)	$ 10,426	$18,138	$(211,818)
Total Tax Expense (Benefit)	$ 30,049	$22,647	$(189,914)

23. Taxation (continued)

The weighted average expected tax provision has been calculated using the pre-tax accounting income (loss) in each jurisdiction multiplied by that jurisdiction's applicable statutory tax rate. Reconciliation of the difference between the provision for income taxes and the expected tax provision at the weighted average tax rate for the years December 31, 2003 and 2002 is provided below:

(U.S. dollars in thousands)	**2003**	**2002**
Expected tax provision at weighted average rate	$ 33,062	$23,835
Permanent differences:		
Non taxable minority interests	–	(2,887)
Non taxable investment income	(3,729)	(5,470)
Non taxable income	(4,292)	(4,737)
Prior year adjustments	(1,958)	(1,359)
State, local and other taxes	1,467	1,980
Valuation allowance	(9,859)	10,874
Tax attributable to other comprehensive income	14,159	(4,301)
Transfer pricing adjustments	(12,039)	(4,349)
Gain on contributed securities	2,968	–
Non deductible expenses	2,009	6,162
Contingency reserve	6,265	–
Other	1,996	2,899
Total tax expense (benefit)	$ 30,049	$22,647

23. Taxation (continued)

Significant components of the Company’s deferred tax assets and liabilities as of December 31, 2003 and 2002 were as follows:

(U.S. dollars in thousands)	2003	2002
Deferred Tax Asset:		
Net unpaid loss reserve discount	$ 62,220	$ 57,258
Net unearned premiums	38,060	36,411
Compensation liabilities	1,691	5,181
Net operating losses	225,227	295,986
Currency translation adjustments	–	2,438
Alternative minimum tax credits	11,927	14,259
Investment adjustments	3,610	11,552
Deferred acquisition costs	7,645	–
Other	4,354	2,246
Deferred tax asset, gross of valuation allowance	354,734	425,331
Valuation allowance	18,316	50,574
Deferred tax asset, net of valuation allowance	336,418	374,757
Deferred Tax Liability:		
Net unrealized appreciation on investments	23,135	28,446
Deferred acquisition costs	–	22,059
Currency translation adjustments	3,206	–
Other	–	3,628
Deferred tax liability	26, 341	54,133
Net Deferred Tax Asset	$310,077	$320,624

The valuation allowance of $18.3 million at December 31, 2003 relates to net operating loss carryforwards that may not be realized within a reasonable period. The valuation allowance of $50.5 million at December 31, 2002 relates to net operating loss carryforwards that may not be realized within a reasonable period. The deferred tax asset for certain net operating loss carryforwards and valuation allowance was reduced by $22.4 million for amounts attributable to the pre-acquisition period of certain affiliates. U.S. net operating loss carryforwards at December 31, 2003 were approximately $450 million and will expire in future years through 2023. As of December 31, 2003, net operating loss carryforwards in the U.K. were $289 million and have no expiration.

Management believes it is more likely than not that the tax benefit of the remaining net deferred tax assets will be realized. Management is required to determine if there is sufficient positive evidence to conclude that it is more likely than not that the deferred tax asset attributable to its U.S. group net operating losses would be utilized within a reasonable period. Management has reviewed historical taxable income and future taxable income projections for the U.S. group and has determined that in its judgment, the net operating losses will more likely than not be realized as reductions of future taxable income within a reasonable period. Specifically with regard to the United States group, management has determined that the projected U.S. consolidated income will be sufficient to utilize the net operating losses of approximately $450 million within a reasonable period. Management will continue to evaluate income generated in future periods by the U.S. group in determining the reasonableness of its position. If management determines that future income generated by the U.S. group

23. Taxation (continued)

is insufficient to cause the realization of the net operating losses within a reasonable period, a valuation allowance would be required for the United States portion of the net deferred tax asset, in the amount of $271 million.

Effective as of January 1, 2004, XL Re America Inc ("XLRA"), a member of the U.S. group, entered into an adverse development reinsurance treaty with another non U.S. reinsurance subsidiary of the Company. The treaty related to the 1985 through (and including) 2001 underwriting years covering any adverse development on reserves calculated as of December 31, 2003 between January 1, 2004 and December 31, 2005. The treaty has a limit of $500 million and will limit future loss development at XLRA relating to these underwriting years. Any commutation of this treaty requires the prior approval of the New York Department of Insurance. There is no impact of this treaty on the consolidated financial statements of the Company, however as part of management's continuing evaluation of its deferred tax asset, the treaty is critical in evaluating the future income position of the U.S. group of companies. Management believes that the treaty will protect the U.S. group from unexpected prior loss development. Absent unexpected loss development from the 2001 and prior underwriting years, management has concluded that there is sufficient positive evidence of future profitability in the U.S. and that a valuation allowance as a charge against the deferred tax asset is not required at this time.

Shareholders' equity at December 31, 2003 and 2002 reflected tax benefits of $2.9 million and $3.7 million, respectively, related to compensation expense deductions for stock options exercised for one of the Company's U.S. subsidiaries.

(e) Tax Matters

The Company is a Cayman Islands corporation and, except as described below, neither it nor its non-U.S. subsidiaries have paid United States corporate income taxes (other than withholding taxes on dividend income) on the basis that they are not engaged in a trade or business or otherwise subject to taxation in the United States. However, because definitive identification of activities which constitute being engaged in a trade or business in the United States is not provided by the Internal Revenue Code of 1986, regulations or court decisions, there can be no assurance that the Internal Revenue Service will not contend that the Company or its non-U.S. subsidiaries are engaged in a trade or business or otherwise subject to taxation in the United States. If the Company or its non-U.S. subsidiaries were considered to be engaged in a trade or business in the United States (and, if the Company or such subsidiaries were to qualify for the benefits under the income tax treaty between the United States and Bermuda and other countries in which the Company operates, such businesses were attributable to a "permanent establishment" in the United States), the Company or such subsidiaries could be subject to U.S. tax at regular tax rates on its taxable income that is effectively connected with its U.S. trade or business plus an additional 30% "branch profits" tax on such income remaining after the regular tax, in which case there could be a significant adverse effect on the Company's results of operations and financial condition.